

DBS.ARS.No.790/08:91:001/98-99

May 25, 1999

All Commercial Bank

Dear Sirs,

DICGC Claims - Certificate to be Issued by Statutory Auditors

As You are aware, the statutory auditors are at present required to give, as a part of statutory audit, a certificate in respect of the transactions pertaining to Deposit Insurance and Credit Guarantee Corporation (DICGC) on completion of the statutory audit of the bank to the General Manager, DICGC, Mumbai.

2. Of late it is observed that the certificates issued by some of the auditors bear a remark, "Not applicable since the bank has opted out". In this connection, we have to advise that even though many banks have opted out of the Credit Guarantee Schemes of the Corporation, the recovery in the 'Claims Paid Accounts' is an ongoing process. In the circumstances, the statutory auditors are required to comment on the recoveries received therein in respect of the fact whether or not the banks have opted out of the schemes, of the Corporation. You are, therefore, advised to bring this aspect to the notice of the statutory auditors of your bank and ensure that the certificate issued by them is complete in all respects and also contains comments on the above subject.

3. Please acknowledge receipt.

Yours faithfully,

Sd/-

(A. R. Dalvi)
General Manager